

have been shelling out more, not just for tomatoes and onions but even potatoes and other kitchen staples such as ginger and garlic.

The food and beverage basket has a weight of 45.86% in the overall CPI basket, meaning the central bank cannot ignore it. Consequently, the high food inflation has meant that the RBI's MPC has kept the policy repo rates unchanged at 6.5% since April 2023 as it tries to align inflation to its target of 4% with a margin of 2% either side on a durable basis. Policymakers and economists worry that food inflation could become structural and even spill over to other sectors.

Interestingly, the Economic Survey suggested excluding the food component from RBI's inflation target, but that proposal failed to pass muster as expenditure on food remains a significant cost for most households.

Experts note that even rebalancing the CPI based on the results of the new Household Consumer Expenditure Survey, which shows that food accounts for 46% of household expenditure, is unlikely to remove the high weight of food from the CPI basket.

Joshi says, but for food inflation, RBI would have cut the repo rate. He expects food inflation to ease this year because of a good monsoon and the high base effect. "A rate cut is also expected if food inflation eases significantly, allowing the headline inflation to fall," he says.

The HSBC economists expect two 25-basis point repo rate cuts, taking the policy repo rate to 6% by March 2025. "Headline inflation has averaged about 5% so far in 2024. By end-2024, headline, core, and food inflation are all likely to converge towards the 4% target, opening up space for rate easing," they said in the report.



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CHIEF ECONOMIST, CRISIL



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FORMER AGRICULTURE
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NOT A SHORT-TERM PROBLEM

But while food inflation may ease in the short run, experts warn that climate change will continue to impact food production and inflation management will become tougher as surface temperatures rise further.

A study by the Indian Council of Agricultural Research (ICAR) using computer simulation modelling revealed that, in the absence of adoption of adaptation measures, climate change is likely to reduce rain-fed rice yields by 20% in 2050 and 47% in 2080 scenarios and wheat yields by 19.3% in 2050 and 40% in 2080 scenarios.

"If the weather continues to be erratic and rainfall patterns change, production will remain impacted. But it is difficult to estimate the long-term impact on inflation," says Hussain. The ICAR has prepared detailed plans to help mitigate the impact, and the government needs to act fast. "The most critical thing is to save water during the monsoon season. Very little has been done in urban areas to do this," warns Hussain. The stakes are high since rain-fed agriculture occupies about 51% of the country's net sown area and accounts for nearly 40% of food production.

Joshi of CRISIL notes that India is among the most climatically vulnerable countries, and the risks are only increasing. "We need to accelerate food processing, transportation, storage, and weather resilient crops to adapt to changing climates," he says.

ICAR has developed sustainable technologies and climate-resilient varieties tolerant to one or more biotic and abiotic stresses. In fact, during the last 10 years, out of 2,593 varieties